Project 4:
Entrepreneurism & Ethics

Group 7

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1. Ethical Business Plan

1.A Company Name: SafeMarket

1.B Long-Term Vision Statement:

1.B.1 Goals:

SafeMarket's long-term goal is to create a trusted and widely used online marketplace that allows users to buy and sell items while maintaining their privacy. Over the next several years, the company aims to build a platform that effectively balances anonymity with accountability by using systems such as identity verification, AI-based moderation, and reporting tools to reduce scams and illegal activity. In addition to improving safety, the platform will focus on increasing user trust, maintaining high user satisfaction, and supporting steady growth. SafeMarket also aims to continuously improve its moderation systems, user experience, and transparency features so that the platform can adapt to a diverse user base with different levels of technical experience. Ultimately, the goal is to create a reliable and ethical marketplace where users feel both secure and respected.

1.B.2 Idea Origination:

The idea for SafeMarket originated from the growing need for privacy in online interactions, especially in digital marketplaces. Many existing platforms require users to share personal information such as names, locations, or contact details, which can create concerns about data misuse, scams, or bias. This issue became clearer through academic experiences in computing and social responsibility, where topics such as privacy, security, and ethical system design were discussed. Through these discussions, it became evident that there is a gap between user privacy and platform safety. SafeMarket was developed as a response to this need, combining anonymous interactions with backend accountability systems, such as secure identity verification and monitoring tools, to create a more balanced and ethical solution.

1.B.3 Purposes/Values/Mission:

The purpose of SafeMarket is to provide a secure and privacy-focused environment where users can interact and complete transactions without exposing their personal identities. The company's mission is to build a platform that prioritizes user safety, transparency, and fairness while still protecting individual privacy. SafeMarket's core values include protecting user data through secure storage and limited data collection, preventing harmful or illegal activity through active moderation systems, and ensuring equal access for users regardless of their background or level of experience. The company also values transparency, meaning users should understand how the platform operates and how their data is used. By focusing on these values, SafeMarket aims to build long-term trust with its users and operate as a responsible and ethical technology company.

1.B.4 Key Questions:

To guide SafeMarket's decisions and long-term direction, several key questions will serve as foundational principles. First, how can the platform maintain strong user privacy while still ensuring accountability and preventing misuse? Second, how can SafeMarket build trust between users who interact anonymously and may not have traditional ways to verify each other? Third, how can the platform remain fair and accessible to users from different backgrounds, income levels, and levels of technical experience? These questions will guide the development of features, policies, and safeguards, ensuring that SafeMarket continues to grow in a way that is both effective and ethically responsible.

1.C Strategy with Ethical Impacts AND Ethical Safeguards:

The following OKRs outline SafeMarket's strategy over the next 3–5 years, focusing on safety, user experience, and trust.

1.C.1.1 OKR 1 Objective and Key Result

One key objective for SafeMarket is to ensure safe and ethical listings while still maintaining user privacy. Because users interact anonymously, there is a higher risk of misuse, such as scams, misleading listings, or illegal items being sold. This makes moderation and safety a critical part of the platform's success. The key results for this objective include detecting and removing at least 95% of prohibited listings, responding to 90% of user reports within 24 hours,

and keeping the fraud rate below 2%. These metrics help define what a “safe” platform looks like and allow the company to track its performance.

Several stakeholders are involved in this objective, including buyers, sellers, the company, and external organizations like payment processors and government agencies. The main users may include college students, young adults, and general online shoppers from different income levels and technical backgrounds. Buyers rely on the platform for safe and trustworthy transactions, while sellers depend on fair moderation. The company must balance privacy and accountability, and government agencies may step in when illegal activity occurs. Overall, all stakeholders are connected through the shared goal of maintaining a safe and reliable marketplace.

1.C.1.2 OKR 1 Metric(s) with Experiment(s)

To measure success, several metrics will be used. The first metric is the percentage of prohibited listings that are detected and removed. This can be tested using a dataset that includes both normal and intentionally harmful listings. The system’s moderation tools will be evaluated based on how accurately they detect and remove these listings, with a goal of at least 95% accuracy.

The second metric is response time to user reports. This measures how quickly the platform reacts when users report suspicious listings. An experiment can simulate around 100 reports and track how long it takes to review and resolve them. The goal is for at least 90% of reports to be handled within 24 hours.

The third metric is fraud rate, which is the percentage of transactions that result in confirmed scams. This can be measured by tracking disputes and complaints over time. The goal is to keep this below 2%, ensuring a safe environment.

Finally, user trust can be measured through surveys by asking users questions like: “On a scale of 1–10, how safe do you feel using this platform?” and “Do you trust the platform to prevent scams?”

The results can be averaged into a trust score. These experiments help the company continuously improve safety and user experience.

1.C.1.3 OKR 1 Ethical Impact(s)/Issue(s)

One major ethical issue is that anonymity can enable harmful or illegal activity. While the platform is designed to protect privacy, it can also be abused by users who attempt to scam others or sell prohibited items. This creates a conflict between privacy and accountability. A similar issue was seen in the case of United States v. Ross Ulbricht, where anonymity allowed illegal transactions to occur without proper oversight [1].

This case highlights the consequences of failing to properly moderate user activity, where anonymity without safeguards led to large-scale illegal operations.

For example, a user could list illegal items while hiding their identity, or create fake listings to scam buyers. In both cases, the lack of accountability encourages unethical behavior. Users may also assume the platform is safe and be more vulnerable to scams, which can lead to financial harm.

Expected Ethical Impact Risk Table

Stakeholder	**Financial**	**Privacy**	**Conflicting Interest**	**Violation of Rights**
Users	Mid	High	Mid	Mid
Company	High	Low	High	Low
Government	Mid	Low	High	Mid

Users face moderate financial risk due to scams or misleading listings, especially when interacting with anonymous sellers. Their privacy risk is high because they rely on the platform to protect their identity, and any data breach could expose sensitive information. There is also a conflict between wanting privacy and needing safety, since more anonymity can reduce accountability.

The company faces high financial risk due to potential legal issues, fines, or loss of user trust if harmful listings are not properly moderated. Privacy risk is lower since the company controls data storage, but it is still responsible for protecting sensitive user information. There is also a strong conflict of interest, as the company must balance user privacy with enforcing rules and cooperating with law enforcement.

Government and law enforcement agencies face moderate financial risk due to the cost of monitoring and investigating illegal activity on the platform. Their privacy risk is low, but there is a strong conflict between enforcing laws and respecting user privacy. They must ensure that actions taken to prevent illegal activity do not violate individual rights.

1.C.1.4 OKR 1 Ethical Safeguards

To reduce these risks, several safeguards can be implemented. One key safeguard is hidden identity verification, where users verify their identity but remain anonymous to others. This can be designed by cybersecurity experts to ensure data is securely stored, and its effectiveness can be measured by tracking reductions in fraud. This system would be implemented during account creation, requiring users to complete verification before accessing the platform.

Another safeguard is an AI-based content moderation, which detects harmful listings before they appear. Machine learning engineers would design and train these systems, and effectiveness can be measured through detection rates. These systems would continuously update using new data to improve accuracy over time.

A reporting system is also important, allowing users to report suspicious activity. These reports would be reviewed by trained moderators, and effectiveness can be measured by response time and resolution rate. This ensures that users are actively involved in maintaining the safety of the platform.

Finally, transparency features should explain why listings are removed. This helps build trust and allows users to better understand platform rules. Overall, these safeguards work together to balance privacy and accountability while maintaining a safe platform. By involving experts in cybersecurity, machine learning, and ethics, and continuously measuring system performance, the platform can create a safer and more responsible marketplace environment. These safeguards also align with the ACM Code of Ethics, which emphasizes avoiding harm and maintaining trust in computing systems [2].

1.C.2.1 OKR 2 Objective and Key Result

The objective of this platform is to improve and build on user experience and satisfaction. Because the platform is based on anonymous users, it’s still important for users to feel safe and

comfortable while using our platform. Trust and confidentiality is important for users to rely on the platform because without feeling safe, the users are not likely to use the platform.

Within the first six months of launching our platform, our key result objective is to achieve a user satisfaction score of 8 out of 10. While also maintaining the user retention rate of 85%. Our company wants steady growth and a positive reputation while also creating a safe space for users to complete their transactions. The company understands that users will be diverse and come from different backgrounds. Keeping this in mind, the platform will need to be easy to access and use. Regulators and payment processors will also rely on the platform to be operated safely and legally without issues.

1.C.2.2 OKR 2 Metric(s) with Experiment(s)

To track and measure the success of the OKR, several metrics will be used. One of the important metrics is the average user satisfaction score. This score would be collected through simple and easy surveys where users can rate their experience on the platform from scores 1 to 10. A score of 10 indicates that the user is completely satisfied with their experience on the platform. Another important metric is user retention, which measures how many users return to the platform and consistently use it. Additional metrics will include the number of user complaints or reports and how likely they would recommend the platform to others.

The process of collecting this data would require surveys to be sent to users. With user consent, they will be able to participate in experiments on user satisfaction. In order to receive an honest review, the user will need to be comfortable giving their opinions on the platform. The user should be informed that the data being collected will be used to improve user satisfaction and to let us know if there is anything we can do better. This process will begin by sending surveys to users after they complete a transaction, and ask simple questions such as: “How satisfied are you with the platform?” and “Would you recommend this platform to others?” Another experiment involves tracking user behavior, such as how often users return within a week or month and log onto the platform. The platform can also run tests where different versions of a feature or design are shown to see which one leads to better satisfaction. These experiments will help track whether or not the platform is meeting its goal while also respecting user privacy and being transparent.

1.C.2.3 OKR 2 Ethical Impact(s)/Issue(s)

One major ethical issue related to this OKR is the potential for unequal user experiences across different groups. Even though the platform is designed to be fair for everyone, users may have different experiences depending on their access to things such as technology or unfamiliarity with online marketplaces. This creates a risk of bias.

Another potential issue is the breach of privacy. For instance, a large collection of user data in order to improve user experience may be an issue. The platform may collect a large amount of behavioral data, which can raise privacy concerns. A similar issue was seen in cases like the Facebook data privacy controversy, where user data was collected and sold without consent from users [3].

Expected Ethical Impact Risk Table

Stakeholder	**Financial**	**Privacy**	**Conflicting Interest**	**Violation of Rights**
Buyers	Low	Mid	Mid	Mid
Sellers	Mid	Mid	Mid	Mid
Company	High	Mid	High	Low
Regulators	Low	Low	High	Low

The financial risk is low because they are not losing money unless a situation such as fraud occurs. The privacy risk is moderate because their data could be collected or misused. There is also a moderate conflict of interest between user experience and data collection.

Sellers face moderate financial risk because potentially poor platform performance could affect their sales. Privacy and conflict risks are also moderate for similar reasons as buyers.

The company has a high financial risk due to potential lawsuits or loss of users. There is also a high conflict of interest between improving user experience and protecting user privacy.

Regulators have low financial and privacy risk but high conflict risk because they must enforce laws while allowing the platform to operate.

1.C.2.4 OKR 2 Ethical Safeguards

To reduce these ethical risks, many safeguards can be used. The amount of data being collected should be limited to only what is necessary to improve user satisfaction and maintain safety. Consent for the collection and ethical use of user data should always be asked for and considered. The data collected afterwards should also be securely stored and encrypted. Lastly, the company should be very transparent with its users about how the data is being collected and used.

Another important safeguard is to test the platform with a variety of diverse user groups. This will aid in developing the platform for a wide range of users from different backgrounds and will help in reducing and potentially eliminating biases on the platform. Experts in the field of cybersecurity and ethical AI should be heavily involved in the process of designing these systems as well as maintaining them to promote fairness and safety.

The effectiveness of these safeguards can be seen by tracking ratings based on trust scores from users, monitoring complaints, and consistently checking for any reported data breaches. If user trust increases and complaints decrease, this shows that the safeguards are working.

1.C.3.1 OKR 3 Objective and Key Result

The primary objective of SafeMarket would be to establish a high level of trust and transparency whilst maintaining the user's anonymity. Because the users do not know each other’s identities, trust must be built through the platform itself. The key result for this objective is to achieve at least 85% of users reporting that they can trust the platform’s safety and the transparency systems, maintain a success rate of 90%, and ensure that at least 80% of users are able to understand how their data is being used.

This OKR affects multiple stakeholders. The sellers and buyers will rely on the company and the platform to ensure that fair and safe transactions can occur without exposing a person's identity. Users may come from diverse demographic backgrounds, including younger users (ages 18–35) as well as lower-income individuals who might depend on resale platforms for their affordability. Users who are more privacy-conscious are also a key demographic, as they value their anonymity but still expect accountability and will likely be a decent chunk of the userbase.

The company itself also has an interest in building trust to attract new "customers" and retain old users, while the payment processors will require secure and legitimate transactions to prevent fraud. Government regulators and law enforcement will be concerned with preventing possible illegal activities, such as scamming or the sale of prohibited goods. These two stakeholders might have conflicting interests, because increased transparency will likely require more data collection, which might conflict with user privacy expectations.

1.C.3.2 OKR 3 Metric(s) with Experiment(s)

To determine the success of the OKR, we intend to use several metrics. The first would be a user's trust score, which would be measured through surveys on a scale ranging from 1 to 10 on how they feel we're doing as a company. The second metric would be the percentage of successful dispute outcomes, which are cases where both parties involved reached a desirable resolution. Our third metric would be how the user understands how their data is used, which would be measured by the percentage of users who can correctly answer questions about how their data is handled. Further metrics include the number of reported incidents and the average response time to user reports.

To evaluate these metrics, a multitude of experiments will be conducted. As mentioned previously, a user trust survey will be distributed to users who come from different demographics, including but not limited to the aforementioned backgrounds, in section 1. The survey will have questions like: “On a scale of 1–10, how much do you trust the platform?” “Do you feel safe conducting transactions?”, and “Do you understand how your data is used?”. The average scores of the results will be calculated, and a value of 8.5 or higher will indicate success.

The second way to measure OKR will focus on dispute resolution. We will keep track of 200 reported interactions over a specified period. Each interaction will be evaluated based on the time it took to resolve, the fairness of the outcome, and the users' satisfaction after the transaction. A success rate of 90% will indicate that the system is effective.

Third, an A/B testing experiment will be conducted to evaluate transparency features. One group of users will be able to see detailed explanations of data usage and platform policies, while another group will see more simplified versions. Metrics such as user comprehension,

engagement, and trust scores will be compared to determine which approach improves transparency.

1.C.3.3 OKR 3 Ethical Impact(s)/Issue(s)

A major ethical issue related to this OKR is the potential conflict that may occur when it comes to transparency and privacy. While the company/platform would like to be transparent about the way it does things, providing too much information risks revealing sensitive system details, which could compromise consumer privacy. Another issue at hand is the risk of misleading transparency, where the platform appears to be transparent but does not fully disclose how decisions are made.

A relevant real-world example is the Facebook data privacy controversy [3], where users weren't knowledgeable of how their data was being gathered and used. As noted in the case, “users’ personal data was shared without explicit consent,” which shows the risks of missing transparency. This is a demonstration of how vagueness on the company's end can lead to ethical violations and loss of trust of the consumers.

Expected Ethical Impact Risk Table

Stakeholder	**Financial Risk**	**Privacy Risk**	**Conflicting Interest**	**Violation of Rights**
Buyers	Low	High	Mid	Mid
Sellers	Mid	High	Mid	Mid
Company	High	Mid	High	Low
Regulators	Low	Low	High	Low

The buyers face low financial risk from any transparency issues, but a lot of privacy risk due to data being collected and monitored. Conflicts arise when users want anonymity, but they also demand accountability. There is also a moderate risk of rights violations if the buyers aren't properly informed about their data usage.

The sellers may face a moderate amount of financial risk if trust issues reduce platform usage. Privacy risks are high because seller activity would be monitored. Conflicts of interest arise between maintaining user anonymity and proving their legitimacy to the buyers.

The company faces high financial risk if consumers lose their trust and leave the platform. Privacy risk is moderate since the company controls the data, but conflicts of interest are high because, down the line, the company may start to prioritize growth over privacy.

The regulators have low financial and privacy risk but high conflict of interest, as they are the ones enforcing the laws.

1.C.3.4 OKR 3 Ethical Safeguards

To address these ethical issues that were brought up in the previous section, we intend to implement several safeguards. Primarily, SafeMarket will take on a policy of transparent data that will explain (hopefully in layman's terms) what type of data is collected, how it will be used, and how it's protected. This will be drafted utilizing the help of legal experts, ethicists, and user experience designers to ensure the platform's clarity and accessibility.

The second issue is that we will be implementing transparency settings that are controlled by the user, which will let the user pick how much information they would like to see about their transactions and the system processes. This needs collaboration between the software engineers and UI designers to ensure the platform is usable.

Third, independent audits will be conducted to evaluate the fairness and transparency of the AI moderation systems involved. Outside experts in ethics and machine learning will come in and take a look at the algorithms involved to detect any biases or unfair practices. How effective these safeguards will be can be measured through the aforementioned user trust surveys, the number of complaints, and audit results.

Finally, SafeMarket will limit the data collected to what is necessary for functionality and security, and nothing more. Consumer ratings and reviews will make sure we are compliant with the privacy standards we said we'd hold ourselves to. The effectiveness of this method of safeguarding can be seen by looking for data breaches as well as complaints about privacy.

2. Cultural Policy

2.A Core Values

SafeMarket aims to be viewed as a company that prioritizes trust, privacy, and fairness in all aspects of its platform. The company wants to be recognized as a responsible and ethical technology company that protects its users while still providing a reliable and efficient marketplace. One of the core values is protecting user privacy, ensuring that individuals can participate in transactions without exposing their personal identity. At the same time, SafeMarket values accountability, meaning that users are still held responsible for their actions even in an anonymous environment.

Another important core value is transparency. The company believes that users should understand how the platform works, how their data is used, and why certain actions, such as removing listings, are taken. Fairness is also a key value, as SafeMarket strives to create equal opportunities for all users regardless of their background, income level, or technical experience. Additionally, the company values safety and actively works to prevent scams, illegal activity, and harmful behavior through moderation systems and ethical safeguards. Overall, SafeMarket's core values focus on creating a balanced system where privacy, trust, and responsibility all work together.

2.B Motivation

The motivation behind SafeMarket's culture comes from both what the company values and what it wants to avoid. The company is driven by the idea of creating a platform where users feel safe, respected, and in control of their personal information. SafeMarket values innovation in building systems that protect privacy while still maintaining security and accountability. The company also values building long-term trust with its users, as trust is essential for the success of any online marketplace, especially one based on anonymity.

At the same time, the company is aware of the risks and challenges that come with anonymity. One of the main concerns is the misuse of the platform for scams, illegal listings, or harmful behavior. SafeMarket aims to avoid becoming a platform where users take advantage of anonymity to act unethically. Another concern is the potential misuse of user data, which could damage trust and violate user rights. The company also wants to avoid bias or unfair treatment

of users, ensuring that the platform is accessible and equitable for everyone. These motivations shape a company culture that focuses on responsibility, ethical decision-making, and continuous improvement.

2.C Summary

Privacy, trust, fairness, and accountability.

3. Ethics Policy

3.A Core Items

SafeMarket's ethics policy is built around several core items that guide how the platform operates and how decisions are made. The first core item is user privacy protection. Because SafeMarket is designed around anonymity, it is essential that user data is protected at all times. This means collecting only the minimum amount of data necessary for functionality and security, securely storing sensitive information such as identity verification, and ensuring that personal data is never exposed to other users. This policy directly supports the platform's goal of allowing users to interact without revealing their identities.

The second core item is accountability through verification and moderation. While users remain anonymous to each other, the platform must still ensure that individuals are responsible for their actions. SafeMarket achieves this by requiring identity verification during account creation and by using AI-based moderation systems and human moderators to detect and remove harmful or illegal listings. This policy ensures that anonymity does not lead to misuse, such as scams or illegal activity, which was identified as a major ethical concern in earlier sections.

Another core item is transparency in platform operations. SafeMarket believes that users should understand how the platform works, including how listings are moderated and how their data is used. This includes providing clear explanations for why listings are removed, offering user-friendly data policies, and allowing users to control certain transparency settings. This policy helps build trust, especially since users are interacting anonymously and cannot rely on traditional forms of trust.

The fourth core item is fairness and non-discrimination. SafeMarket is committed to providing equal access to all users regardless of their background, income level, or technical experience. The platform will actively work to reduce bias in AI moderation systems by conducting regular audits and testing systems with diverse user groups. This ensures that no group is unfairly targeted or disadvantaged, which is important for maintaining an ethical and inclusive platform.

Another important core item is responsible data usage and security. The platform will limit data collection to only what is necessary and will use encryption and secure storage methods to protect user information. In addition, user consent will always be required before collecting or using data for analysis or improvement. This policy directly addresses ethical concerns related to data misuse and aligns with the platform's commitment to protecting user rights.

Finally, SafeMarket includes a policy of cooperation with legal and regulatory authorities. While the platform prioritizes privacy, it must also comply with laws and prevent illegal activity. Law enforcement will only be given access to user data through proper legal processes, ensuring that user rights are respected while still allowing for necessary investigations. This policy helps balance the conflict between privacy and law enforcement, which is a key ethical challenge for the platform.

3.B Board

One individual selected for SafeMarket's ethics board is Bruce Schneier, a well-known cybersecurity expert and author [4]. Schneier has extensive experience in security, privacy, and risk management, making him highly relevant to SafeMarket's focus on protecting user data and maintaining secure systems. His work emphasizes the importance of designing systems that are both secure and trustworthy, which aligns directly with SafeMarket's goals. He would contribute valuable insight into how the platform can strengthen its security measures while maintaining user privacy.

Another important member of the ethics board is Cathy O'Neil, who is known for her work on algorithmic bias and ethical data use [5]. She is the author of *Weapons of Math Destruction*, which highlights how algorithms can unintentionally create unfair outcomes. Her expertise is especially relevant to SafeMarket's use of AI-based moderation systems. O'Neil would help ensure that the platform's algorithms are fair, unbiased, and transparent, reducing the risk of discrimination and ethical violations.

The third member of the ethics board is Tim Berners-Lee, who has been a strong advocate for an open and ethical internet [6]. He has consistently promoted the importance of user rights, privacy, and transparency in digital systems. His experience and perspective would help guide SafeMarket in maintaining ethical standards while scaling its platform. Berners-Lee's focus on decentralization and user control aligns well with SafeMarket's mission to empower users while protecting their privacy.

4. YouTube Presentation

https://youtu.be/mrzop2iQOts

5. References

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